to find the lowest foreign exchange rate across all order books and currency pairs. It is basically a DLT, but with a specific purpose, which makes it more enterprise-ready.

Ripple aims to solve specific problems, which banks are likely to have with other public ledger based systems, such as delay in confirming transactions and lack of privacy. Ripple takes just three to five seconds to confirm a transaction through consensus among validators, as it does not use a proof-of-work method.

To solve the privacy problem, it advocates the use of Interledger Protocol (ILP), which can work with any bank or non-traditional payment network, regardless of its underlying technology.

ILP is an emerging standard that provides all benefits of public and private blockchains, while also ensuring that transaction data remains private to only the transacting parties. Ripple feels that ILP is a much better approach than private, bank-sponsored blockchains, as the latter approach can lead to a further fragmentation of payment networks.

Hyperledger. Hyperledger is a collaborative effort to develop a cross-industry open standard for distributed ledgers. The current implementation employs Bitcoin UTXO transaction model, which uses a system of public and private keys to ensure that transactions remain uncompromised while travelling to their destination. As of now, Hyperledger does not have any native currency. They believe that the technology will be useful for syndicated loans and capital markets infrastructure.

MultiChain. An interesting innovation, MultiChain is a platform that lets banks and other organisations develop their own blockchain. Customers can customise various aspects of the blockchain such as whether it is private or public, target time for blocks, who can connect to the network, how they interact, maximum block size, metadata that can be included in transactions and so on.

They also have their own improvised mining technique called mining diversity. The process enables miners to approve transactions in a random rotation. The company claims that this structure allows more miners to participate in the approval of transactions, while ensuring there is no fixed order of verification that could be corrupted.

India can benefit from blockchain technology

Every other day, there is a press release about a new DLT or platform. It is clear that it will play a key role in the future of the finance industry.

"For the financial services sector in India or abroad, blockchain offers the opportunity to overhaul existing banking infrastructure, speed up settlements, organise assets and streamline stock exchanges, although regulators want to be assured that it can be done securely. According to Santander, the banking industry could save about US$ 20 billion every year with the implementation of blockchain processes," explains Abhishek.

"According to many evangelists, the possibilities are limitless. Applications range from storing client identities to handling cross-border payments, clearing and settling bond or equity trades to smart contracts that are self-executing, such as a credit derivative that pays out automatically if a company goes bust, or a bond that regularly pays interest to the holder," he adds.

The emergence of enterprise-grade DLTs including highly customisable blockchains and enthusiastic support that banks and tech majors are extending to such companies make it clear that DLT is the way ahead for the financial services sector. EFY